

3.6.1 Sources of finance

Content	Additional information
• Methods businesses use to raise finance • Appropriateness of sources of finance	Students should be able to: • understand the main internal and external sources of finance available (including family and friends, retained profit, a new share issue, obtaining a loan or mortgage, selling unwanted assets, overdrafts, trade credit, hire purchase and government grants) • analyse the advantages and disadvantages of each method for a given situation • evaluate the suitability of sources of finance for new and established businesses.